NAFTA & The Contract with America

NAFTA Preamble (signed Dec. 17, 1992) & Republican 'Contract with America' (Sept. 27, 1994)

Source: NAFTA Preamble (1992), text via Global Affairs Canada; 'Contract with America' (Sept. 27, 1994), text via Teaching American History. U.S. government and public-domain texts.

Two landmark documents from the post-Cold War 1990s captured the era's twin currents: globalization and conservative resurgence. The North American Free Trade Agreement, negotiated under George H.W. Bush and signed into law by Bill Clinton, eliminated most tariffs between the U.S., Canada, and Mexico. The Contract with America, drafted by Newt Gingrich and signed by Republican House candidates before the 1994 midterm, called for term limits, a balanced-budget amendment, welfare reform, and tort reform. Republicans won 54 House and 8 Senate seats, taking control of Congress for the first time in 40 years.

Connect: NAFTA reflects the post-Cold War neoliberal consensus. Compare it to earlier trade policy — was the U.S. traditionally free-trade or protectionist?

Key Passages

NAFTA — Preamble

The Government of Canada, the Government of the United Mexican States and the Government of the United States of America, resolved to: Strengthen the special bonds of friendship and cooperation among their nations … Create an expanded and secure market for the goods and services produced in their territories; Reduce distortions to trade … Create new employment opportunities and improve working conditions and living standards in their respective territories

Contract with America — preamble

This year's election offers the chance, after four decades of one-party control, to bring to the House a new majority that will transform the way Congress works. That historic change would be the end of government that is too big, too intrusive, and too easy with the public's money. It can be the beginning of a Congress that respects the values and shares the faith of the American family.

Contract — day-one reforms

On the first day of the 104th Congress, the new Republican majority will immediately pass the following major reforms, aimed at restoring the faith and trust of the American people in their government: FIRST, require all laws that apply to the rest of the country also apply equally to the Congress

Contract — sample planks

The Fiscal Responsibility Act: A balanced budget/tax limitation amendment and a legislative line-item veto to restore fiscal responsibility to an out-of-control Congress … The Personal Responsibility Act: Discourage illegitimacy and teen pregnancy by prohibiting welfare to minor mothers … The Citizen Legislature Act: A first-ever vote on term limits to replace career politicians with citizen legislators.

HIPP Analysis

Model answers fill the first three rows. Use them to explain the author's Purpose in the last row.

HIPP Element	Your Analysis
Historical Situation *What was happening when this was written?*	The post-Cold War 1990s: globalization and free trade expanded, and conservatives pushed against big government after Clinton's early agenda.
Intended Audience *Who was the source written for?*	NAFTA: the three governments, businesses, and investors. Contract: American voters before the 1994 midterm election.

HIPP Element	Your Analysis
Point of View *Whose perspective? Whose is missing?*	NAFTA: free-trade supporters in both parties (Bush, Clinton). Contract: Gingrich and House Republicans; organized labor and NAFTA critics are absent.
Purpose *What did the author want to accomplish?*	

Analysis Prompts

1. LEQ Complexity (1 pt): Argue that the post-Cold War 1990s was a moment of BOTH neoliberal consensus AND deepening partisan polarization.
2. Identify TWO consequences of NAFTA — one positive and one negative — that the AP would expect you to cite.
3. Why was the Contract with America such an effective campaign device?

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1992 & 1994

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> Two defining documents of the 1990s: NAFTA created a North American free-trade zone linking the U.S., Canada, and Mexico, while the Contract with America laid out the House Republicans' agenda that swept them to a majority in 1994.

North American Free Trade Agreement — Preamble (signed December 17, 1992)

NAFTA — Preamble

The Government of Canada, the Government of the United Mexican States and the Government of the United States of America, resolved to: Strengthen the special bonds of friendship and cooperation among their nations;

Contribute to the harmonious development and expansion of world trade and provide a catalyst to broader international cooperation;

Create an expanded and secure market for the goods and services produced in their territories;

Reduce distortions to trade;

Establish clear and mutually advantageous rules governing their trade;

Ensure a predictable commercial framework for business planning and investment;

Build on their respective rights and obligations under the General Agreement on Tariffs and Trade and other multilateral and bilateral instruments of cooperation;

Enhance the competitiveness of their firms in global markets;

Foster creativity and innovation, and promote trade in goods and services that are the subject of intellectual property rights;

Create new employment opportunities and improve working conditions and living standards in their respective territories;

Undertake each of the preceding in a manner consistent with environmental protection and conservation;

Preserve their flexibility to safeguard the public welfare;

Promote sustainable development;

Strengthen the development and enforcement of environmental laws and regulations; and Protect, enhance and enforce basic workers’ rights;

Have agreed as follows:

Contract with America — House Republicans, September 27, 1994

Contract with America — preamble

As Republican members of the House of Representatives and as citizens seeking to join that body we propose not just to change its policies, but even more important, to restore the bonds of trust between the people and their elected representatives.

That is why, in this era of official evasion and posturing, we offer instead a detailed agenda for national renewal, a written commitment with no fine print

[. . .]

This year’s election offers the chance, after four decades of one-party control, to bring to the House a new majority that will transform the way Congress works. That historic change would be the end of government that is too big, too intrusive, and too easy with the public’s money. It can be the beginning of a Congress that respects the values and shares the faith of the American family.

[. . .]

First-day reforms

On the first day of the 104th Congress, the new Republican majority will immediately pass the following major reforms, aimed at restoring the faith and trust of the American people in their government:
FIRST, require all laws that apply to the rest of the country also apply equally to the Congress;
SECOND, select a major, independent auditing firm to conduct a comprehensive audit of Congress for waste, fraud, or abuse;
THIRD, cut the number of House committees, and cut committee staff by one-third; . . .
SEVENTH, require a three-fifths majority vote to pass a tax increase;

[. . .]

The ten bills

Thereafter, within the first one hundred days of the 104th Congress, we shall bring to the House floor the following bills, each to be given full and open debate, each to be given a clear and fair vote and each to be immediately available this day for public inspection and scrutiny.

The Fiscal Responsibility Act: A balanced budget/tax limitation amendment and a legislative line-item veto to restore fiscal responsibility to an out-of-control Congress, requiring them to live under the same budget constraints as families and businesses. The Taking Back Our Streets Act: An anticrime package including stronger truth-in-sentencing, "good faith" exclusionary rule exemptions, effective death penalty provisions, and cuts in social spending from this summer's "crime" bill to fund prison construction and additional law enforcement to keep people secure in their neighborhoods and kids safe in their schools. The Personal Responsibility Act: Discourage illegitimacy and teen pregnancy by prohibiting welfare to minor mothers and denying increased AFDC for additional children while on welfare, cut spending for welfare programs, and enact a tough two-years-and out provision with work requirements to promote individual responsibility. The Family Reinforcement Act: Child support enforcement, tax incentives for adoption, strengthening rights of parents in their children's education, stronger child pornography laws, and an elderly dependent care tax credit to reinforce the central role of families in American society. The American Dream Restoration Act: A $500 per child tax credit, begin repeal of the marriage tax penalty, and creation of American Dream Savings Accounts to provide middle-class tax relief. The National Security Restoration Act: No U.S. troops under UN command and restoration of the essential parts of our national security funding to strengthen our national defense and maintain our credibility around the world. The Senior Citizens Fairness Act: Raise the Social Security earnings limit which currently forces seniors out of the workforce, repeal the 1993 tax hikes on Social Security benefits and provide tax incentives for private long-term care insurance to let older Americans keep more of what they have earned over the years. The Job Creation and Wage Enhancement Act: Small business incentives, capital gains cut and indexation, neutral cost recovery, risk assessment/cost-benefit analysis, strengthening the Regulatory Flexibility Act and unfunded mandate reform to create jobs and raise worker wages. The Common Sense Legal Reform Act: "Loser pays" laws, reasonable limits on punitive damages, and reform of product liability laws to stem the endless tide of litigation. The Citizen Legislature Act: A first-ever vote on term limits to replace career politicians with citizen legislators.

[. . .]

Respecting the judgment of our fellow citizens as we seek their mandate for reform, we hereby pledge our names to this Contract with America.

Words to know

catalyst — something that sets off or speeds up change

multilateral and bilateral — involving many nations / involving two nations

intellectual property rights — legal ownership of inventions, writings, brands, and ideas

line-item veto — power to reject individual parts of a spending bill, not the whole bill

truth-in-sentencing — requiring convicts to serve most of the sentence announced in court

AFDC — Aid to Families with Dependent Children; the main federal welfare program

unfunded mandate — a federal requirement that states must pay for themselves

term limits — caps on how many terms an official may serve